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Business Tire  
Company Status PMA

Financial Performance: Earnings in 2010 drop to IDR 830 billion, compared to IDR 905 billion earnings in 2009.

Brief History: Gajah Tunggal was established to produce bicycle tires and inner tubes in 1951. In 1990, Gajah Tunggal was listed on the Jakarta and Surabaya Stock Exchange. In 1991, Gajah Tunggal acquired GT Petrochem Industries, a producer of tire cord and nylon filament. Gajah Tunggal acquired Langgeng Bajapratama in 1995, a steel and bead wire producer. Gajah Tunggal received ISO 9002 international quality certification for its radial tire production quality control system. Gajah Tunggal received quality certification the TUV CERT from Germany. In 1996, Gajah Tunggal acquired Meshindo Alloy Wheel Corporation, the second largest manufacturer of aluminum alloy wheels in Indonesia. Gajah Tunggal's main subsidiary, GT Petrochem Industries, expanded its operations to include synthetic rubber, ethylene glycol, polyester filament and polyester staple fiber. In 1997, Gajah Tunggal entered into an off-take agreement with Pirelli Tyre to produce Pirelli designed passenger car radial tires for North America and Europe. Gajah Tunggal's radial tire plant obtained ISO 9001 certification for its quality design, development and installation systems. In 2004, Michelin and Garibaldi investment took control in May with 78% of the Company's shares. GT Signed Distribution and Manufacturing Agreement with Michelin to distribute Michelin tires in local market (Indonesia) and produce Michelin's associate brands for overseas market. Launched "TireZone", retail concept stores that provides a range of world class tires includes GT Radial, Michelin, and BF Goodrich. Finalized corporate restructuring - deconsolidated PT GT PetroChem and exit from other non-core business, take on Tire Cord and SBR. In 2005, Received ISOTS16949, upgrade from QS 9000, more accepted by the Japanese and the European automotive industry. And at the same year divested Meshindo Alloy Wheel. In 2006, the Company was awarded "Best Managed Company in Indonesia" by Euromoney Magazine.

## Shareholders

|                               |        |
|-------------------------------|--------|
| Denham Pte., Limited          | 49.70% |
| Compagnie Financiere Michelin | 10.00% |
| Cooperative                   | 0.11%  |
| Public                        | 40.19% |

## Summary of Financial Statement

| (Million Rupiah)                          |             |           |            |
|-------------------------------------------|-------------|-----------|------------|
|                                           | 2008        | 2009      | 2010       |
| <b>Total Assets</b>                       | 8,713,559   | 8,877,146 | 10,371,567 |
| Current Assets                            | 3,057,108   | 3,375,286 | 4,489,184  |
| of which                                  |             |           |            |
| Cash and cash equivalents                 | 169,621     | 815,459   | 866,078    |
| Trade receivables                         | 541,560     | 644,650   | 1,297,944  |
| Inventories                               | 1,399,407   | 862,152   | 1,089,211  |
| Non-Current Assets                        | 5,656,451   | 5,501,860 | 5,882,383  |
| of which                                  |             |           |            |
| Fixed Assets-Net                          | 3,618,630   | 3,609,236 | 4,075,764  |
| Deferred Tax Assets                       | 184,912     | 30,162    | 7,414      |
| Investments                               | 631,163     | 544,058   | 601,628    |
| Other Assets                              | n.a         | n.a       | n.a        |
| <b>Liabilities</b>                        | 7,064,134   | 6,206,486 | 6,844,970  |
| Current Liabilities                       | 2,071,221   | 1,817,666 | 2,549,406  |
| of which                                  |             |           |            |
| Bank loans                                | 33,693      | n.a       | n.a        |
| Trade payables                            | 1,279,893   | 717,543   | 1,062,268  |
| Current maturities of long-term debt      | 11,700      | n.a       | n.a        |
| Non-Current Liabilities                   | 4,992,913   | 4,388,820 | 4,295,564  |
| <b>Minority Interests in Subsidiaries</b> | n.a         | n.a       | n.a        |
| <b>Shareholders' Equity</b>               | 1,649,425   | 2,670,660 | 3,526,597  |
| Paid-up capital                           | 1,742,400   | 1,742,400 | 1,742,400  |
| Paid-up capital in excess of par value    | 51,500      | 51,500    | 51,500     |
| Additional paid-up capital                | 404,497     | 411,637   | 411,637    |
| Retained earnings (accumulated loss)      | (548,972)   | 465,123   | 1,321,060  |
| <b>Net Sales</b>                          | 7,963,473   | 7,936,432 | 9,853,904  |
| Cost of Goods Sold                        | 6,828,388   | 6,114,847 | 7,915,174  |
| Gross Profit                              | 1,135,085   | 1,821,585 | 1,938,730  |
| Operating Expenses                        | 553,732     | 676,595   | 651,303    |
| Operating Profit                          | 581,353     | 1,144,990 | 1,287,427  |
| Other Income (Expenses)                   | (1,355,552) | 128,623   | (166,987)  |
| Profit (Loss) before Taxes                | (774,199)   | 1,273,613 | 1,120,440  |
| Profit (Loss) after Taxes                 | (624,788)   | 905,330   | 830,624    |
| <b>Per Share Data (Rp)</b>                |             |           |            |
| Earnings (Loss) per Share                 | (179)       | 260       | 238        |
| Equity per Share                          | 473         | 766       | 1,012      |
| Dividend per Share                        | n.a         | 15        | 12         |
| Closing Price                             | 200         | 425       | 2,300      |
| <b>Financial Ratios</b>                   |             |           |            |
| PER (x)                                   | (1.12)      | 1.64      | 9.65       |
| PBV (x)                                   | 0.42        | 0.55      | 2.27       |
| Dividend Payout (%)                       | n.a         | 5.77      | 5.03       |
| Dividend Yield (%)                        | n.a         | 3.53      | 0.52       |
| Current Ratio (x)                         | 1.48        | 1.86      | 1.76       |
| Debt to Equity (x)                        | 4.28        | 2.32      | 1.94       |
| Leverage Ratio (x)                        | 0.81        | 0.70      | 0.66       |
| Gross Profit Margin (x)                   |             |           |            |
| Operating Profit Margin (x)               | 0.07        | 0.14      | 0.13       |
| Net Profit Margin (x)                     | n.a         | 0.11      | 0.08       |
| Inventory Turnover (x)                    | 4.88        | 7.09      | 7.27       |
| Total Assets Turnover (x)                 | 0.91        | 0.89      | 0.95       |
| ROI (%)                                   | (7.17)      | 10.20     | 8.01       |
| ROE (%)                                   | (37.88)     | 33.90     | 23.55      |

PER = 12.92x ; PBV = 2.78x (June 2011)

Financial Year: December 31

Public Accountant: Osman Bing Satrio & Co.

| (million rupiah)            |            |           |
|-----------------------------|------------|-----------|
|                             | 2011       | 2010      |
| <b>Total Assets</b>         | 10,795,375 | 9,731,419 |
| Current Assets              | 4,682,871  | 4,131,903 |
| Non-Current Assets          | 6,112,504  | 5,599,516 |
| <b>Liabilities</b>          | 6,882,865  | 6,665,361 |
| <b>Shareholders' Equity</b> | 3,912,510  | 3,066,058 |
| <b>Net Sales</b>            | 5,816,617  | 4,813,338 |
| <b>Profit after Taxes</b>   | 421,916    | 415,009   |
| <b>ROI (%)</b>              | 3.91       | 4.26      |
| <b>ROE (%)</b>              | 10.78      | 13.54     |
| <b>in June</b>              |            |           |

**Board of Commissioners**

*President Commissioner* Drs. Diby Widodo, SH  
*Vice President Commissioner* Mulyati Gozali  
*Commissioners* Gautama Hartarto, Benny Gozali,  
 Howell Rembrandt Picket Keezell,  
 Sean Gustav Standish Hughes,  
 Sunaria Tadjuddin, Sang Nyoman Suwisma

**Board of Directors**

*President Director* Christopher Chan Siew Choong  
*Vice President Director* Budhi Santoso Tanasaleh  
*Directors* Catharina Widjaja, Hendra Soerijadi,  
 Kisyuwono, Tan Enk Ee, Lin Jong Jeng, Irene Chan,  
 Ferry Laurentius Hollen  
*Number of Employees* 12,195

| No | Type of Listing | Listing Date | Trading Date | Number of Shares per Listing | Total Listed Shares |
|----|-----------------|--------------|--------------|------------------------------|---------------------|
| 1  | First Issue     | 1990         | 1990         | 20,000,000                   | 20,000,000          |
| 2  | Partial Listing | 1990         | 1991         | 5,000,000                    | 25,000,000          |
| 3  | Bonus Shares    | 1991         | 1991         | 10,000,000                   | 35,000,000          |
| 4  | Company Listing | 1990         | 1991         | 75,000,000                   | 110,000,000         |
| 5  | Bonus Shares    | 1993         | 1993         | 88,000,000                   | 198,000,000         |
| 6  | Right Issue     | 1994         | 1994         | 198,000,000                  | 396,000,000         |
| 7  | Bonus Shares    | 1995         | 1995         | 396,000,000                  | 792,000,000         |
| 8  | Right Issue     | 1996         | 1996         | 792,000,000                  | 1,584,000,000       |
| 9  | Stock Split     | 1997         | 1997         | 1,584,000,000                | 3,168,000,000       |
| 10 | Right Issue     | 2-Jan-08     | 2-Jan-08     | 316,800,000                  | 3,484,800,000       |

**Underwriters** PT Inter-Pacific Financial Corporation, PT INDOVEST

**Stock Price, Frequency, Trading Days, Number and Value of Shares Traded and Market Capitalization**

| Month        | Stock Price |          |            | Shares Traded            |                    | Frequency | Trading Day | Listed Shares | Market Capitalization |
|--------------|-------------|----------|------------|--------------------------|--------------------|-----------|-------------|---------------|-----------------------|
|              | High (Rp)   | Low (Rp) | Close (Rp) | Volume (Thousand Shares) | Value (Rp Million) |           |             |               |                       |
| January-10   | 480         | 425      | 460        | 34,691.00                | 15,730.00          | 1,238     | 20          | 3,484,800,000 | 1,603,008.00          |
| February-10  | 590         | 445      | 570        | 127,769.00               | 66,671.00          | 3,960     | 19          | 3,484,800,000 | 1,986,336.00          |
| March-10     | 850         | 550      | 800        | 577,844.00               | 416,325.00         | 15,887    | 22          | 3,484,800,000 | 2,787,840.00          |
| April-10     | 1,100       | 800      | 1,040      | 767,594.00               | 733,750.00         | 19,664    | 21          | 3,484,800,000 | 3,624,192.00          |
| May-10       | 1,030       | 650      | 860        | 515,303.00               | 441,811.00         | 16,041    | 19          | 3,484,800,000 | 2,996,928.00          |
| June-10      | 1,010       | 780      | 970        | 285,305.00               | 266,509.00         | 10,901    | 22          | 3,484,800,000 | 3,380,256.00          |
| July-10      | 1,360       | 880      | 1,230      | 599,686.00               | 671,895.00         | 18,029    | 22          | 3,484,800,000 | 4,286,304.00          |
| August-10    | 1,840       | 1,200    | 1,720      | 1,020,370.00             | 1,548,624.00       | 39,733    | 21          | 3,484,800,000 | 5,993,856.00          |
| September-10 | 2,125       | 1,700    | 1,980      | 489,406.00               | 939,911.00         | 23,685    | 17          | 3,484,800,000 | 6,899,904.00          |
| October-10   | 2,375       | 1,950    | 2,325      | 472,068.00               | 1,006,620.00       | 25,463    | 21          | 3,484,800,000 | 8,102,160.00          |
| November-10  | 2,675       | 2,250    | 2,300      | 294,537.00               | 730,310.00         | 16,019    | 21          | 3,484,800,000 | 8,015,040.00          |
| December-10  | 2,475       | 2,175    | 2,300      | 242,354.00               | 562,881.00         | 15,949    | 20          | 3,484,800,000 | 8,015,040.00          |
| January-11   | 2,475       | 2,025    | 2,275      | 292,096.00               | 659,289.00         | 18,140    | 21          | 3,484,800,000 | 7,927,920.00          |
| February-11  | 2,325       | 2,050    | 2,050      | 144,731.00               | 313,708.00         | 9,655     | 18          | 3,484,800,000 | 7,143,840.00          |
| March-11     | 2,275       | 2,000    | 2,225      | 218,615.00               | 465,828.00         | 16,305    | 23          | 3,484,800,000 | 7,753,680.00          |
| April-11     | 2,425       | 2,225    | 2,325      | 116,509.00               | 271,346.00         | 8,041     | 20          | 3,484,800,000 | 8,102,160.00          |
| May-11       | 3,275       | 2,300    | 2,975      | 308,585.00               | 865,844.00         | 18,056    | 21          | 3,484,800,000 | 10,367,280.00         |
| June-11      | 3,175       | 2,650    | 3,125      | 164,628.00               | 479,454.00         | 14,815    | 20          | 3,484,800,000 | 10,890,000.00         |

**Stock Price and Traded Chart**